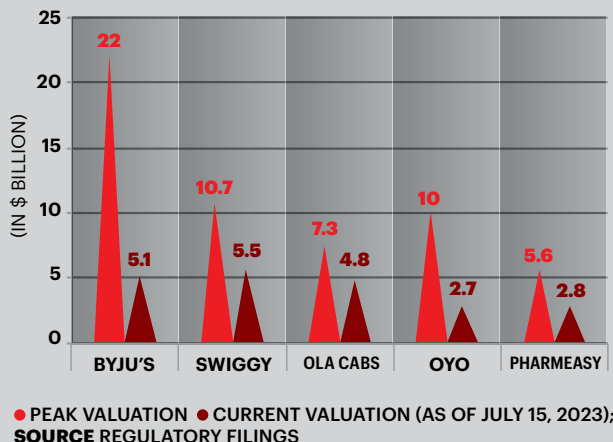


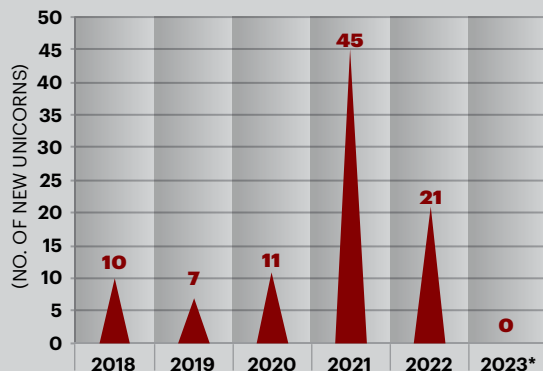
SHRINKING SIZE

Some big start-ups that have faced the biggest mark-downs in their valuation in recent times



CHASING UNICORNS

Not a single start-up in India has achieved unicorn status in 2023



*DATA AS OF JULY 15, 2023; SOURCE INVEST INDIA

VARIOUS VALUATION METHODS



DISCOUNTED CASH FLOW

THIS METHOD ESTIMATES VALUATIONS USING THE EXPECTED CASH FLOWS OF A COMPANY IN THE FORESEEABLE FUTURE



MARKET CAPITALISATION

IT ESTIMATES VALUATION BY MULTIPLYING THE CURRENT SHARE PRICE WITH THE NUMBER OF SHARES OUTSTANDING IN THE MARKET



ENTERPRISE VALUE

THIS MEASURES THE VALUATION OF A BUSINESS BY REDUCING CASH FROM THE SUM OF DEBT AND EQUITY



GROWING PERPETUITY

THE CURRENT VALUE OF AN INFINITE SERIES OF CASH FLOWS THAT GROW AT A PROPORTIONATE RATE

SOURCE BT RESEARCH

GRAPHICS BY RAHUL SHARMA

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in the short-term, but it also leads to a correction. Investors that *BT* spoke to say they are not worried about the mark-downs, as they are crucial in paving the way for fresh investments to come into the ecosystem. "While it is true that a few companies have experienced a decline in their valuations, it is important to note that there are also several others that have managed to maintain valuations, or even registered an increase," Bhargava says. He cites some of Lightspeed's portfolio companies that have seen an increase in their valuations. But as the deals are still in progress, he declines to share details.

Singhvi, who has invested in companies such as fin-

tech firm BharatPe and PharmEasy, defends the latter's mark-downs. "As a patient and long-term investor, I am not worried. Start-up investing is not for those who are impatient. Sometimes it takes four years, sometimes seven years, to hit profitability. We are okay with that."

He adds that PharmEasy has efficient founders and is a good company. "However, it will take them 24 months to bounce back to normalcy. The founders have an understanding of the ecosystem and I want to stay invested." Reports have also suggested that the medtech company is planning to raise \$300 million in fresh funding through a rights issue at a 90 per cent mark-down from its previous